Project Satoshi Gate

> ***Participant Notice: Case Simulation*** *This case is a simulated transaction prepared for this competition. Some facts are based on real-world information, while deal specific figures, structures, and assumptions are constructed for the case. Treat all information in this document as given and do not substitute outside figures.*

1. Background

One97 Communications Ltd. (Paytm) (NSE/BSE: PAYTM) is a major player in India's digital payments ecosystem, with significant exposure to UPI, merchant payments, and consumer financial services. As of mid-September 2026, Paytm trades at a market capitalization of **₹1,18,750 Cr (~$14B)**. The stock has re-rated sharply over the past year on a turnaround narrative, but pure-play UPI and checkout growth has slowed, PhonePe and Google Pay dominate UPI transaction volume, and Paytm continues to operate under regulatory scrutiny following RBI's 2024 restrictions on Paytm Payments Bank. Paytm has also been exploring tokenized-treasury and cross-border settlement capabilities aligned with RBI's e₹ (Digital Rupee) pilot, with the aim of modernizing B2B settlement infrastructure.

Baseline financials (assume for modeling): 64 Cr diluted shares outstanding; ₹8,900 Cr cash; ₹350 Cr gross debt; credit rating **CRISIL AA- (Stable)**; trailing revenue ₹8,450 Cr; EBITDA ₹640 Cr; PAT **₹480 Cr**; diluted EPS **₹7.50**. Use this PAT/EPS figure as your starting point for all dilution calculations in Section 5.3.

2. The New Opportunity: Liminal Custody Solutions

Assume Paytm has entered bilateral talks to acquire **Liminal Custody Solutions**, an institutional digital-asset custody and multi-party computation (MPC) infrastructure provider founded in 2021 by Mahin Gupta (co-founder of ZebPay), for **₹4,000 Cr (~$470M)**, comprising **₹2,100 Cr cash and ₹1,900 Cr equity**. **Assume the ₹2,100 Cr cash portion may be funded from Paytm's existing balance-sheet cash, new debt, or a mix of both.**

Liminal serves crypto exchanges, hedge funds, and OTC desks, and holds ISO 27001 and SOC 2 Type II certifications. **Assume its largest institutional clients are HDFC Bank, Axis Bank, CoinDCX, and ZebPay, together representing 60% of Liminal's ARR. For modeling purposes, assume Liminal is approximately breakeven at the net income level today**, so its EPS impact on Paytm comes primarily from new shares issued and any financing costs, rather than from acquired earnings.

The Counter-Bid: PhonePe (Walmart-backed) and Mastercard have formed an exploratory consortium to acquire Liminal should Paytm walk away.

Metric	Case Value
Target	Liminal Custody Solutions, digital-asset custody & MPC infrastructure
Deal Value	₹4,000 Cr (~$470M), ₹2,100 Cr cash / ₹1,900 Cr equity
Target ARR	₹220 Cr (~$26M)
Acquirer Market Cap	₹1,18,750 Cr (~$14B)
Implied Multiple	18x Deal Value / ARR
Competing Bidder	PhonePe-Mastercard consortium

3. Known Constraints

3.1 The Bank Partner Revolt

Liminal's largest clients, HDFC Bank, Axis Bank, CoinDCX, and ZebPay, are unlikely to want their custody provider owned by a competing payments company that also runs a consumer wallet.

Assume 30% to 45% of Liminal's ARR is lost within 12 months of a full acquisition.

3.2 The Capital Requirement Trap

Paytm operates under an RBI Payment Aggregator (PA) license, not a banking license. Assume that owning Liminal's custody infrastructure forces RBI to require bank-like capital reserves against custodied assets, creating a **recurring annual Free Cash Flow drag of ₹750 Cr (~$88M)**.

3.3 Valuation Risk

Paytm's stock is richly valued on a turnaround story. Paying an 18x revenue multiple for Liminal while taking an immediate EPS hit could trigger shareholder pressure to prioritize buybacks over M&A.

3.4 The New UPI Fee

Real, effective October 15, 2026

NPCI has ended UPI's zero-fee regime for merchants. Effective October 15, 2026, a **0.4% Merchant Discount Rate (MDR)** applies to Person-to-Merchant UPI transactions **above**

₹2,000, capped at ₹300 per transaction. Transactions up to ₹2,000, and all peer-to-peer transfers, remain free. The fee is paid by merchants and not by consumers.

For modeling purposes, assume this new fee generates ₹115 Cr/year of incremental net revenue for Paytm.

4. Your Mission

The Board wants a go/no-go recommendation on acquiring Liminal Custody Solutions.

You must:

- Recommend one of four paths: full acquisition, minority stake (20% to 30%), joint venture, or walk away.
- Propose a governance structure that protects Liminal's institutional client relationships post-close.
- Structure the ₹4,000 Cr payout in a way that limits balance-sheet and credit-rating pressure.
- Factor the new UPI MDR revenue into your financial model.
- Show how your recommendation changes under key downside scenarios, particularly customer churn and capital requirements.

5. Deliverables & Tough Questions

Deliver a **10 to 15 slide board recommendation**, supported by a **simple accretion/dilution and transaction model**. Your recommendation should be supported by clear assumptions, key calculations, and a concise implementation plan.

5.1 Strategic Verdict

- Which structure would you recommend: full acquisition, minority stake, joint venture, or walk-away?
- Does custody and MPC infrastructure create meaningful strategic value for Paytm, particularly in digital assets, tokenized assets, CBDC infrastructure, or cross-border settlement?
- Is the strategic opportunity large enough to justify the risks of moving beyond Paytm's core payments business?
- Could Paytm achieve a similar strategic outcome through a commercial or licensing partnership with Liminal instead of ownership?
- What are the key reasons the Board should accept or reject the proposed transaction?

5.2 Customer Churn Defense

- How significant is the risk of losing HDFC Bank, Axis Bank, CoinDCX, ZebPay, and other institutional clients after an acquisition?
- What governance safeguards, such as an arm's-length board, independent directors, a standalone brand, information barriers, or client protections, could reduce this risk?
- How does the deal's return profile change under the **30% to 45% ARR churn scenario**?
- What level of churn would make the transaction unattractive under your base-case assumptions?

5.3 Capital & Valuation

- How should the ₹4,000 Cr payout be financed across cash, debt, and equity to protect Paytm's **CRISIL AA-** rating and liquidity position?
- How does the cash/equity mix affect EPS dilution, starting from the **₹7.50 baseline EPS**?
- What is the implied acquisition multiple, and is the valuation supportable under different revenue and churn scenarios?
- How long would it take for the transaction to reach breakeven after incorporating the **₹750 Cr/year capital drag**?
- How much of this drag is offset by the **₹115 Cr/year incremental UPI MDR revenue**?
- What transaction structure, such as deferred consideration, earn-outs, or contingent value rights, could reduce downside risk?

5.4 Regulatory Path

- What is the likely regulatory sequence required to close the transaction, including RBI approval, competition clearance, and any securities-related approvals?
- Does owning custody infrastructure create additional regulatory or capital requirements for Paytm?
- What regulatory risks should be addressed before signing, between signing and closing, and after closing?
- How should Paytm structure Liminal's operations to maintain appropriate data, compliance, AML, and information-security controls?

5.5 Competitive Risk

- What happens if the PhonePe-Mastercard consortium outbids Paytm?
- How should Paytm respond if the competing bidder offers a higher valuation or more attractive terms?
- Can the transaction still be justified to shareholders if Paytm's stock multiple compresses?
- What are the strategic implications of allowing PhonePe and Mastercard to own Liminal instead?

5.6 Contingency Planning

- If institutional client churn exceeds 45%, what is the appropriate remediation or unwind plan?
- Could Paytm take a minority stake now with an option to acquire full control later?
- What milestones should Paytm require before exercising such an option?
- Could Liminal remain a standalone, arm's-length subsidiary indefinitely?
- What are the key conditions under which Paytm should walk away from the transaction even after signing?

Expected Output

Your final recommendation should clearly state:

1. **Recommended transaction structure**
2. **Key strategic rationale**
3. **Key financial implications**
4. **Customer churn and downside analysis**
5. **Proposed financing structure**
6. **Regulatory and governance approach**
7. **Key risks and mitigants**
8. **Implementation roadmap and decision triggers**

Note on sourcing: Paytm's market capitalization and the UPI MDR fee and framework described in Section 3.4 are real, verified facts as of September 2026. All other figures, including the deal terms, Liminal's financials, churn assumptions, capital drag, and the PhonePe-Mastercard consortium, are constructed specifically for this case. Treat this document as the single source of truth and do not substitute outside research or figures.